

Convex Research — Investment Philosophy

Convex Research's investment philosophy is explicit, coherent, and consistently communicated across its materials. It can be summarized as **global, risk-first, convex allocation for individuals**.

Below is a structured breakdown.

1. Core Philosophy Statement (in their own words)

"Transformar cada família em seu próprio Hedge Fund."

— Richard Rytenband, CEO

This is not marketing fluff. It defines their **mental model**:

- Treat the **individual investor** like an institutional allocator
 - Focus on **portfolio construction**, not stock picking
 - Prioritize **risk, cycles, and asymmetry**, not forecasts
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2. Foundational Pillars

◆ Independence

- Convex positions itself as a **casa de análise independente**
- No brokerage, no asset management, no execution
- Revenue comes from **research subscriptions**, not commissions

Implication:

They claim fewer conflicts of interest than banks or broker research desks.

◆ Risk Before Return

Risk management is the starting point, not an afterthought.

They emphasize:

- Fragility of assets and economic systems
- Stress scenarios (crises, regime shifts)

- Capital preservation as a prerequisite to compounding

This is evident in:

- Mandatory **cash / reserve of value**
 - Allocation bands instead of binary "buy/sell"
 - Dynamic exposure (increase/decrease, not all-in/all-out)
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◆ **Convexity (Asymmetry)**

This is the philosophical backbone.

Convexity means:

- **Limited downside**
- **Potentially large upside**
- Acceptance of volatility if payoff is asymmetric

Practical expression:

- Exposure to volatile assets (crypto, commodities, tech)
 - Balanced by reserves (cash, gold, USD assets)
 - Avoidance of "middle-of-the-road" portfolios that fail in crises
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3. The "Barbell" (Haltere) Logic

Convex implicitly follows a **barbell strategy**:

One side — Protection

- Cash
- USD assets
- Gold / reserve of value
- Bonds (US fixed income)

Other side — Optionality

- Cryptoassets (via CFM)

- Equities aligned with macro cycles
- Commodities
- REITs / real assets

What they **avoid**:

- Over-optimized mean-variance portfolios
 - Excess leverage
 - Blind diversification without macro logic
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4. Global-First Mentality

Convex explicitly rejects:

- Brazil-centric allocation bias
- Home-country risk concentration

Instead:

- Brazil is analyzed **inside the global system**
- USD, US markets, and global liquidity cycles dominate analysis
- Brazilian assets are tactical, not structural

This is closer to:

- Family office logic
than to:
 - Retail “buy and hold local stocks” narratives
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5. Model-Driven, Not Narrative-Driven

Their products reflect this:

- **CFM (Crypto Fragility Model)**
→ exposure based on ecosystem fragility, not price targets
- **VISA Ações**
→ equity exposure adjusted to economic cycles, not stories

- **Portfólio Global**
→ predefined “gavetas” (buckets) with target percentages

Key point:

They adjust **exposure**, not conviction.

6. Time Horizon

- Medium to long term
- Designed for **long periods of inactivity**
- Accepts drawdowns if portfolio structure remains valid

This aligns with:

- Capital preservation first
 - Letting convex bets mature over time
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7. What They Are *Not*

To be precise, Convex is **not**:

- A trading signal service
- A day-trading house
- A discretionary asset manager
- A yield-chasing strategy

They do **not** promise:

- Constant activity
 - Smooth equity curves
 - Benchmark hugging
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8. Market Positioning (Philosophically)

Convex sits conceptually between:

- **Retail research houses** (too tactical, too local)
- **Institutional macro frameworks** (too complex for individuals)

Their differentiation is:

Institutional portfolio thinking, translated for individuals.

9. One-Line Synthesis

Convex Research believes that wealth is built by surviving cycles first, then exploiting asymmetries — using global diversification, disciplined risk control, and convex exposure rather than prediction or stock picking.

If you want, I can:

- Contrast this philosophy with **traditional Brazilian research houses**
- Map Convex's philosophy to a **family-office IPS**
- Stress-test this approach under **2008 / 2020 / stagflation scenarios**

1. What "convex allocation" means

"Convex allocation" is a **portfolio construction approach** that aims to create a payoff profile where:

- **Losses are limited or controlled** in bad scenarios (crisis, deflation shock, liquidity freeze).
- **Upside can be large** in certain regimes (risk-on booms, inflation shocks, tech/crypto melt-ups, commodity super-cycles).
- The portfolio is **not optimized for the "average" scenario**; it is built to be resilient across **very different regimes**.

In practice, it means you design the portfolio so that the relationship between "how bad things get" and "how much you lose" is **non-linear** (i.e., you do *not* lose proportionally more as stress increases), while still preserving meaningful upside.

2. Why it is called "convex"

In mathematics, a **convex** curve "bends upward." In portfolio language:

- A **linear** portfolio behaves like:
"If risk worsens by 2x, my loss worsens by ~2x."
- A **convex** portfolio behaves more like:
"If risk worsens by 2x, my loss may worsen much less than 2x, and in some scenarios I can even benefit."

So "convexity" is shorthand for **asymmetry**:

- **Downside is capped / softened**
- **Upside remains open-ended**

This is the same intuition behind:

- owning **options** (limited loss, big payoff potential)
- holding **crisis hedges**
- maintaining **dry powder (cash)** to buy when others are forced sellers

You do not need literal options to have convexity, but **options are the cleanest convex instrument**.

3. Linear allocation vs convex allocation

Linear / "balanced" allocation (typical 60/40 logic)

- Works best when the world behaves "normally"
- Often fails when correlations shift (e.g., stocks and bonds both down)
- Tends to be optimized for **average conditions**

Risk profile:

- When crises hit, drawdowns can be **large and proportional**.

Convex allocation (regime-aware, risk-first)

- Designed for **multiple regimes**, including ugly ones
- Uses "buckets" with distinct jobs:

- **survive** the crash
- **optionality** to win big in certain regimes
- **liquidity** to rebalance aggressively
- Accepts that some parts will look “wasteful” during calm periods (cash, hedges)

Risk profile:

- In stress, portfolio behavior becomes **non-linear**: drawdowns are reduced and rebalancing power increases.
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4. The key mechanism: Barbell + rebalancing

Most “convex allocation” in the real world is implemented via a **barbell**:

A) Safety / survival side

Goal: **don’t die**; preserve purchasing power and liquidity.

Typical instruments:

- Cash (or T-bills)
- USD exposure (for BR investors, often a hedge against local risk)
- High-quality sovereign bonds (depending on regime)
- Gold / reserve assets

B) Optionality / convex side

Goal: **asymmetric upside**.

Typical instruments:

- Crypto (high volatility, potentially explosive upside)
- Select equities (tech, secular growth, anti-fragile business models)
- Commodities (inflation/geo shocks)
- Occasionally explicit options (puts/calls)

C) The engine: disciplined rebalancing

Convexity is not only “what you hold,” but **how you manage it**:

- When risk assets crash, you rebalance from safety into optionality at lower prices.
- When risk assets melt up, you trim and rebuild safety.

This repeated cycle can create “synthetic convexity” even without options.

5. What convex allocation is *not*

To avoid confusion, “convex allocation” is not:

- “Always high risk”
- “Always long crypto/tech”
- “A prediction strategy”
- “A single static portfolio”

Convex allocation is **risk-structure design**, not asset hype.

6. Practical intuition with scenarios

Scenario 1: Crisis / liquidity shock (2008-style)

- A typical “balanced” portfolio can suffer large drawdowns.
- A convex portfolio:
 - has cash / hedges that hold value
 - can rebalance into cheap risk assets
 - avoids forced selling

Scenario 2: Inflation shock / commodities regime

- Bonds may fail as ballast.
- Convex portfolio includes:
 - commodities / gold
 - pricing-power equities
 - USD exposure (depending on local currency dynamics)

Scenario 3: Risk-on mania (tech/crypto bull)

- Convex portfolio participates meaningfully through optionality sleeve.
 - It does not try to “time” the top; it trims back into safety.
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7. The trade-offs (very important)

Convex allocation has costs:

- **Carry cost / opportunity cost:** cash and hedges can underperform in calm markets.
- **Tracking error:** it may look “wrong” versus benchmarks for long periods.
- **Discipline requirement:** it only works if you rebalance systematically and do not chase.

So the philosophy is:

pay a small, controlled cost most of the time to avoid catastrophic costs occasionally.

8. A simple definition you can reuse

Convex allocation is building a portfolio whose payoff is asymmetric: it's structured to limit losses in stress regimes while preserving the ability to capture large upside in specific environments, typically via a barbell of safety + optionality and disciplined rebalancing.

If you want, I can translate this into an **IPS-style framework** (buckets, target ranges, rebalance rules, drawdown controls) consistent with your “Convex / crisis-alpha / capital preservation” constraints and your long-only, volatility-aware mandate.